The balance sheet

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

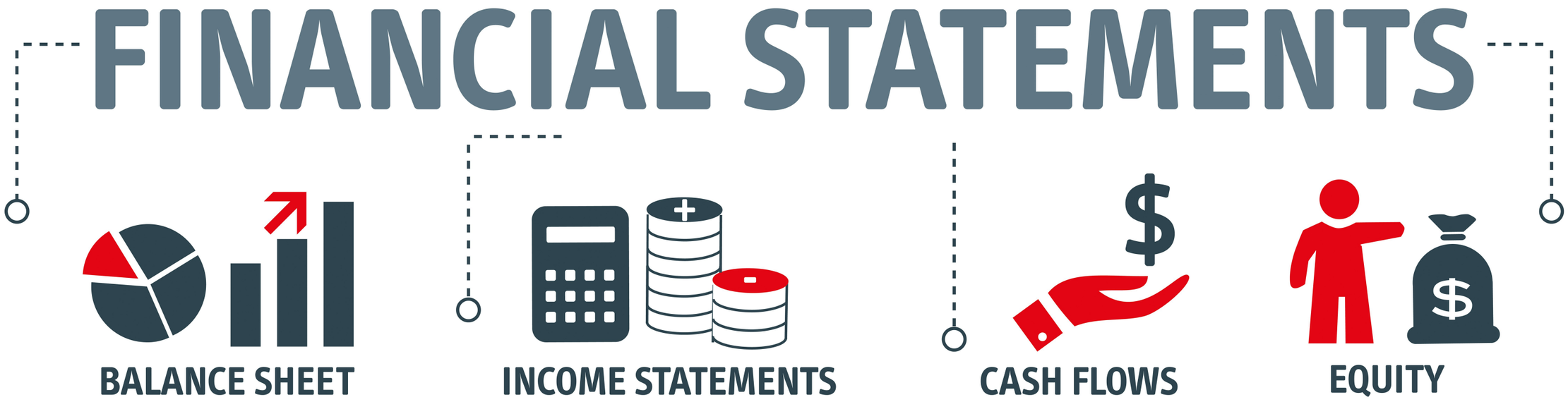
Nikisha Alcindor
Investor and Data Scientist

datacamp

Expectations

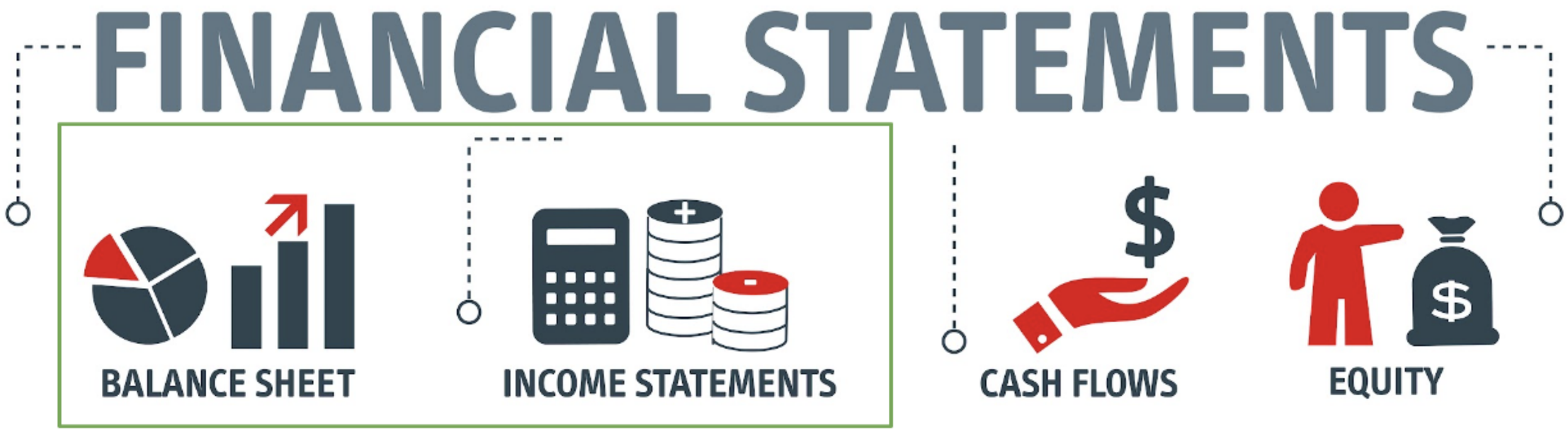
- **This is an intermediate course**
  - Familiar with DAX and Data Modeling in Power BI
- **Prerequisites**
  1. Introduction to DAX in Power BI
  2. Data Modeling in Power BI
- **No finance experience needed!**

Introduction to financial statements



[1] https://www.investopedia.com/terms/f/financial-statements.asp

Introduction to financial statements



The accounting equation

- Incorporates financial information of a firm
- Provides the framework for financial statements
- Both sides of the equation must be equal
- Critical to understand the `Balance Sheet`

Assets

A resource a business owns

- Long-Term Assets - not easily converted to cash in a year.
  - Equipment
  - Property
- Current Assets - cash or easily converted to cash in a year.
  - Cash
  - Inventory

Total Assets = Long-Term Assets + Current Assets

Liabilities

- Claims against assets (Debts and Obligations)
  - Creditors (the person for whom money is owed)
  - Accounts Payable (Unpaid Invoices)
  - Notes Payable (Loans)
  - Salaries and Wages Payable

Owner's equity

Owners Claim on an Asset

- Investment by owner
  - Owner's (or Shareholder's) Capital
  - Owner's Drawings

Summary of the accounting equation

1. **Assets** are resources owned by the firm.
2. **Liabilities** are debts the firm owes.
3. **Owner's Equity** is money the owners put into the firm (minus any money taken out of the firm).

Opening a lemonade business

- `Assets` = `Liabilities` + `Owners' Equity`
- You invest $100 to open a lemonade stand.
- `100` = `0` + `100`
- You take out a company loan of $500 to buy professional equipment and a freezer
- `600` = `500` + `100`

Balance sheet

- Reports the assets, liabilities and owner's equity
- Snapshot of the company's financials at a specific moment in time
- Adheres to the accounting equation
- Snapshot at what a company owns or owes

Larry's Automotive

Let's practice!

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

Getting to know the balance sheet

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

Nikisha Alcindor
Investor and Data Scientist

datacamp

Let's practice!

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

The income statement

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

Nikisha Alcindor
Investor and Data Scientist

datacamp

Income statement

- Revenues and expenses for a specific period of time
- Shows net income (or net loss)
- Alternative Terminology
  - P&L or profit and loss statement
  - Earnings statement

A simple income statement

Company 1	Values
Revenue	$300
Expenses	$200
Profit	$100

Company 2	Values
Revenue	$300
Expenses	$400
Profit	-$100

Important metrics

Gross Revenue

Net Revenue

Gross Profit

Net Profit

Gross revenue

Gross Revenue (Gross Sales)

- Earnings without subtracting expenses.

Example

- You sell 10 juicers of `$100`
- `Gross Revenue` = `10` x `$100` = `$1000`

Net revenue

- Earnings minus discounts, or money lost from product returns/missing products
- `Net Revenue` = `Gross Revenue` - `Discounts` - `Returns`
- Amount a company keeps from its sales

Example

- You sell 10 juicers of `$100`, but need to return the money for 1 damaged juicer.
- `Net Revenue` = `1000` - `$0` - `100` = `900`

Gross profit

- Profit after subtracting the cost of goods sold (COGS) from its net revenue
- `Gross profit` = `Net Revenue` - `COGS`
- COGS refers to the direct costs of producing the goods sold by a company*

Example

- You sell 10 juicers of `$100` with a cost of `$60`, but need to return the money for 1 damaged juicer.
- `Gross profit` = `$900` - `$600` = `$300`

[1] https://www.investopedia.com/terms/c/cogs.asp

Net profit

- Profit after subtracting COGS, operating and other expenses, interest and taxes.
- `Net profit` = `Gross profit` - `Expenses`
- Also referred to as the "bottom line"

Example

- Same scenario as before, but your salary costs and taxes are both `$50` .
- `Net profit` = `$300` - `$50` - `$50` = `$200`

Important metrics: summary

Gross Revenue

- Total earnings
- `Gross Revenue` = `10` x `$100` = `$1000`

Net Revenue

- Earnings a company keeps from its sales
- `Net Revenue` = `Gross Revenue` - `Discounts` - `Returns`
- `$1000` - `$0` `$100` = `$900`

Gross Profit

- Profit after subtracting COGS.
- `Gross profit` = `Net Revenue` - `COGS`
- `$900` - `$600` = `$300`

Net Profit

- Profit after subtracting all expenses
- `Net profit` = `Gross profit` - `Expenses`
- `$300` - `$100` = `$200`

EBITDA

- Earnings before interest, taxes, depreciation, and amortization (EBITDA).
- An alternate measure of profitability besides net profit.

[1] https://www.investopedia.com/terms/e/ebitda.asp#toc-what-is-ebitda

Income statement

- Focuses on revenues and expenses
- Reports losses and gains over a period of time
- Uses the following metrics:
  - Gross revenue
  - Net revenue
  - Gross profit
  - Net profit
  - EBITDA

Let's practice!

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

Getting to know the income statement

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

Nikisha Alcindor
Investor and Data Scientist

datacamp

Let's practice!

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI